External and Internal Organizational Environments and Corporate Culture

Based on OpenStax, *Organizational Behavior* (2019), print ISBN 978-1-59399-877-6, CC BY-NC-SA 4.0. All stories and examples below come from the chapter.

The big idea: an organization only thrives if it **fits its outside world**, and when that world changes, its structure and culture must change too. The chapter asks:

1. What outside forces push on organizations, and how uncertain is their environment?
2. Which structure suits which environment? (six types, from rigid to flexible)
3. How do the inside parts (leaders, strategy, structure) line up with the outside?
4. Which culture fits which environment, and what trends lie ahead?

1 The world outside the organization

STORY **Amazon: a company that reshapes its world**

Amazon is the chapter's running example. In 2017 it had **44% of all U.S. e-commerce**, and in a study of 3,000 independent businesses, competition from Amazon was their **primary concern**. Vice president Stephenie Landry says customers ask just two questions: "Do you have what I want, and can you get it to me when I need it?" But the outside world pushes back: shipping costs of over $11 billion a year, criticism of warehouse conditions, possible drone rules, pressure to pay more taxes.

What it shows: top companies (Amazon, Apple, Netflix, Google/Alphabet) "not only meet external environmental demands, but also shape them." Firms that missed the changes, such as **Blockbuster, Toys R Us, Borders and Kodak**, failed or fell behind.

The **external (general) environment** is everything outside that affects how an organization operates and that it must respond to. It has five connected forces (Exhibit 15.2):

Force	Example from the book
Economic, incl. **globalization**	Wages, jobs, exchange rates. China's 2018 GDP (est. **$13.2 trillion**) beat the 19 euro countries' total.
Technological	Airbnb and Uber used the Internet and social media to shake up taxis and hotels.
Government and political	The UK leaving the EU, Middle East wars and threats to free trade raise uncertainty.
Sociocultural	Millennials (ages 20 to 35) want engaging work. #MeToo pushed for transparency.
Natural disasters, human-induced problems	Hurricanes, pollution, climate change. Rising seas threaten the Marshall Islands.

Pressures right now (chapter opening): AI and digital technology (with hacking risks), blockchain, the sharing economy, shifts in learning credentials, and ethics, CSR and sustainability.

2 How uncertain is the world? Finding the "fit"

A classic framework (Exhibit 15.4) asks: is the environment **simple or complex** (few, similar outside elements, or many, different ones)? Is it **stable or unstable** (changing slowly, or often and unpredictably)?

	Stable	Unstable
Simple	**1. Low uncertainty:** soft drink bottlers, beer distributors, food processors	**3. High to moderate:** e-commerce, music, fashion clothing
Complex	**2. Low to moderate:** universities, appliance makers, chemical and insurance firms	**4. High uncertainty:** computer, aerospace, airline, telecom firms

STORY **Universities slide out of their comfortable cell**

Universities used to sit in cell 2, but have moved toward cells 3 and 4. For-profit schools such as the **University of Phoenix** faced scrutiny over advertising, graduation rates and accreditation. Colleges now face higher tuition, cheaper online rivals and fewer students, and several private colleges have merged or closed.

What it shows: fit is not permanent. Organizations "must adapt or face consequences."

EXAMPLE **Lego's five simple rules**

Lego's rules ask five questions about any proposed product: "(1) does the proposed product have the Lego look? (2) Will children learn while having fun? (3) Will parents approve? (4) Does the product maintain high quality standards? (5) Does it stimulate creativity?"

What it shows: De Toni and De Zan's three tips for a complex environment: **simple rules** like these, **self-managing teams**, and **building on your own capabilities**.

3 Structure: from rigid pyramids to networks

Deloitte warns that many organizations still use "industrial-age models that are 100 years old or more." Two broad types (Exhibit 15.5):

Mechanistic: for stable, simple worlds

- Top-down, formal rules, specialized tasks
- **Narrow span of control** (few people per boss)
- Example: the U.S. Postal Service (historically)

Organic: for unstable, complex worlds

- Flatter, flexible, few rules, shared tasks
- **Wide span of control** (more people per manager)
- Examples: high tech, aerospace, telecom

Three eras: **mechanistic pyramids** (mid-1800s to late 1970s) → the flatter **"horizontal organization"** with cross-functional teams (1980s to mid-1990s) → open, outsourced, Internet-era designs (mid-1990s on).

The six structures, from most mechanistic to most organic

Structure	How it works	Strength	Weakness
1. Functional	Departments by expertise (R&D, production, marketing).	Specialization; economies of scale	"Silos"; slow cross-department decisions
2. Divisional	Divisions by product or market, each with its own functions.	Focus; clear accountability	Isolated divisions; mismatched systems
3. Geographic	Divisions by customer location, e.g. **IBM** (pictured: IBM China).	Knows local needs and tastes	Distant units too independent
4. Matrix	**Two bosses**: a functional boss and a project boss.	Flexible; fast information sharing	Confusion; divided loyalties
5. Networked team	Informal: members find whoever can help.	Flexible, quick	Depends on technology; no central meeting place
6. Virtual	"Boundaryless," run through technology: Uber, Airbnb, Nike, Dell.	Low cost; fast; wide talent pool	Isolation; less trust

> STORY **How the matrix was born: aerospace in the 1960s**
>
> U.S. aerospace firms with government contracts had to show how each project team fit into the company's management, so employees reported to **both** the government and the company. Other industries copied the idea for its flexibility.
>
> **What it shows:** two lines of authority define the matrix. People in it need communication, conflict and political skills, and should "focus less on the structure and more on behaviors."

Why networks and virtual work? Deloitte notes that "we spend two orders of magnitude more time with people near our desk than with those more than 50 meters away," and that real work "gets done in networks." And telecommuting at Dell, Aetna and Xerox saved **95,294 metric tons** of greenhouse gas emissions in a year, like taking **20,000** cars off the road.

Book inconsistencies: the text dates the second era 1980s to mid-1990s, but Exhibit 15.6 labels it "1960s to 1980s"; and the text once announces "five types of structures" but describes six.

4 Inside meets outside: open systems and alignment

> STORY **Detroit closes its doors to change**
>
> In the 1980s, Japanese 4-cylinder cars "hit the U.S. like a shock wave." Ford, General Motors and Chrysler suffered slumping sales, plant closures and layoffs. They seemed **closed** to changing trends and unwilling to change how they built cars.
>
> **What it shows:** in **open systems** theory (Katz and Kahn; Bertalanffy), an organization takes **inputs** from its environment (e.g. students), transforms them (**throughput**, e.g. education) and returns **outputs** (graduates). Open systems respond and adapt to change; **closed systems** are less sensitive to their environment.

Domain is the field an organization chooses to compete in (Uber and Airbnb redefined the taxi and hotel domains). **Internal dimensions** include leadership, strategy, culture, management, goals, marketing, operations and structure, plus an informal side (relationships, norms, politics). The **McKinsey 7-S model** puts strategy, structure, systems, skills, staff and style around **shared values**.

How alignment works (Lewin and Stephens, Exhibit 15.18): top leaders **scan the environment** → do a **SWOT analysis** (strengths, weaknesses, opportunities, threats) → confirm the **domain** → set vision, mission, goals, strategy → build culture, structure and systems to match.

> STORY **McDonald's vs. Amazon: two kinds of alignment**
>
> **McDonald's** serves "1% of the world's population—more than 70 million customers—every day." It is aligned through "fanatical attention to the design and management of scalable processes, routines, and a working culture." **Amazon** is built mainly on **global function-based groups** and a global hierarchy (plus geographic divisions). Their dominance "reduces the capacity of Amazon to rapidly respond to new issues and problems."
>
> **What it shows:** inside and outside must line up, but no alignment is perfect or permanent. Even Amazon keeps changing.

5 Corporate culture: which culture fits which world?

Peter Drucker: **"Culture eats strategy for breakfast."** Culture, based on values, shapes behavior more than strategy does. It helps the organization **adapt to its outside world** and creates **internal unity**; the top leader sets the "tone at the top." The **Competing Values Framework (CVF)** (Cameron and Quinn) sorts cultures on two axes: **internal vs. external focus** and **flexibility vs. stability and control**.

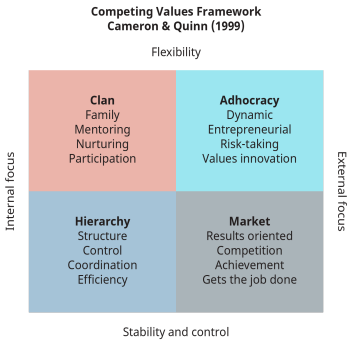


Exhibit 15.21: The Competing Values Framework (OpenStax, CC BY-NC-SA 4.0)

Culture	What it values	Book's examples
Adhocracy external + flexible	Innovation, risk-taking	Facebook, Google
Clan internal + flexible	Relationships, mentoring	Tom's of Maine
Hierarchy internal + control	Efficiency, control	U.S. Postal Service, military
Market external + control	Results, competition	Oracle (Larry Ellison)

STORY **Amazon: two cultures at once**

Facing outward, Amazon is an **adhocracy**: it grew from an "online bookstore" to selling everything, cloud computing, warehouse robots and testing drones. Facing inward, it resembles a **hierarchy**, with tight control over lower-level staff. Employees complained: "Work came first, life came second, and trying to find the balance came last." Amazon has since changed many rules for warehouse employees.

What it shows: mixed cultures can work, but a hard-driving culture has human costs.

STORY **Wells Fargo: when a culture goes wrong (end-of-chapter case)**

In 2016 it came out that **5,000 salespeople** had created **2 million fake accounts** to meet high-pressure sales goals, including a monthly report called the "Motivator." A lawsuit claimed employees probably created **3.5 million**, starting in 2002 (the book gives both figures). The CEO and management team were fired, and regulators imposed a **$1 billion fine**.

What it shows: leaders, goals and culture can push employees into unethical, illegal acts.

6 Organizing for change: what's coming

The 2018 Global Risks Perception Survey predicts four trends: **inequality and unfairness**, **political tensions**, **environmental dangers** and **cyber vulnerabilities**. Its authors propose a "nine resilience lens," grouped into three kinds of **resilience**: **structural** ("loosely coupled," modular structures, not rigid hierarchies), **integrative** (awareness of your community, plus social cohesion to fall back on) and **transformative** (the need "to proactively change or it will end up being changed by external circumstances").

From business to social enterprise: organizations are now judged "on the basis of their impact on society at large." In one survey, **65 percent of CEOs** rated "inclusive growth" a top-three concern, over three times the share citing shareholder value.

Quick review: Chapter 15 in 8 lines

- **External forces**: economic (incl. globalization), technological, political, sociocultural, natural/human-induced.
- **Fit**: simple/complex × stable/unstable = 4 cells; complex-unstable is the most uncertain.
- **Mechanistic** (top-down, rules, narrow span) vs. **organic** (flat, flexible, wide span).
- **Six structures**: functional, divisional, geographic, matrix (two bosses), networked team, virtual.
- **Open systems**: inputs → throughput → outputs. Closed systems are less sensitive to change (Detroit, 1980s).
- **Alignment**: scan → SWOT → domain → strategy → structure, culture. **7-S**: six S's around shared values.
- **CVF cultures**: adhocracy, clan, hierarchy, market. "Culture eats strategy for breakfast."
- **Ahead**: resilience (structural, integrative, transformative) and the **social enterprise**.

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